

SENATE/HOUSE FILE _____
BY (PROPOSED DEPARTMENT OF
ADMINISTRATIVE SERVICES
BILL)

A BILL FOR

1 An Act relating to contracts entered into by state agencies and
2 including applicability provisions.
3 BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF IOWA:

1 Section 1. NEW SECTION. **8A.311C State purchasing contracts**
2 **— prohibited terms.**

3 The provisions set forth in this section are void as a matter
4 of law as contrary to public policy if included in a contract
5 for the procurement of goods or services entered into by the
6 department or any other state agency pursuant to this part.
7 A state agency's contract that includes any of the following
8 provisions shall be interpreted as if the contract did not
9 include the void provision:

10 1. A provision that requires the state or its agencies to
11 defend, indemnify, hold harmless another person, or otherwise
12 assume the debt or liability of another person in violation of
13 Article VII, section 1, of the Constitution of the State of
14 Iowa.

15 2. A provision that seeks to impose vendor terms that
16 are unknown at the time of signing the contract or can be
17 unilaterally changed by the vendor.

18 3. A provision that violates chapter 13 by not allowing
19 a state agency to participate in its own defense through
20 representation by the attorney general.

21 4. A provision that grants to any person other than the
22 attorney general the authority to convey to a court or litigant
23 the state's consent to any settlement of a suit involving the
24 contract when such settlement could impose liability on the
25 state.

26 5. A provision that specifies that the contract is governed
27 by the laws of a foreign state or nation.

28 6. A provision that claims blanket confidentiality of the
29 contract's terms.

30 7. A provision that claims that payment terms, including but
31 not limited to cost proposals or other pricing information, of
32 the contract are confidential.

33 8. A provision that authorizes or requires a venue for
34 litigation other than an appropriate state or federal court
35 sitting in Iowa.

1 9. A provision that requires a state agency to pay attorney
2 fees, court costs, or other litigation expenses in the event of
3 a contractual dispute.

4 10. A provision that imposes on the state or its agencies
5 binding arbitration or another binding extrajudicial dispute
6 resolution process in which the final resolution is not
7 determined by the state.

8 11. A provision that waives a state agency's right to a jury
9 trial.

10 12. A provision that obligates a state agency to pay a late
11 payment charge not consistent with section 8A.514, interest
12 greater than allowed under section 8A.514 or other applicable
13 law, or any cancellation charge, as such charges constitute
14 pledges of the state's credit.

15 13. A provision that obligates a state agency to pay a tax.

16 14. A provision that imposes a prior notice obligation on
17 a state agency as a condition for the automatic renewal of a
18 software license. A state agency may provide notice of its
19 intent to terminate a software license at any time before the
20 renewal date established in the contract.

21 15. A provision that obligates a state agency to accept risk
22 of loss before the receipt of items or goods.

23 16. A provision that obligates a state agency to have
24 commercial insurance.

25 17. A provision that obligates a state agency to grant a
26 contractor full or partial ownership of intellectual property
27 developed pursuant to a state agency contract when the
28 intellectual property is developed in whole or in part using
29 federal funding.

30 18. A provision that limits the time in which the state or
31 its agencies may bring a legal claim under the contract to a
32 period shorter than that provided by Iowa law.

33 19. A boilerplate provision included in a vendor's
34 transactional documents, including but not limited to ordering
35 documents and quotations, that seeks to alter the terms of a

1 state agency's contract or to impose new terms in the contract.

2 Sec. 2. NEW SECTION. 8A.311D State purchasing contracts —
3 required terms.

4 All of the following provisions shall be deemed to be
5 included in a state agency vendor contract:

6 1. *Governing law.* The contract shall be governed by
7 the laws of the state of Iowa, without giving effect to any
8 conflict of laws principles of Iowa law that may require the
9 application of another jurisdiction's law.

10 2. *Venue.* Any litigation commenced in connection with the
11 contract shall be brought and maintained in an appropriate
12 state or federal court sitting in Iowa.

13 Sec. 3. NEW SECTION. 8A.311E State purchasing contracts —
14 waiver.

15 If the director determines that a necessary good or service
16 is impossible to procure due to a requirement of section
17 8A.311C or 8A.311D, the director may waive the requirement
18 to the extent necessary to obtain the good or service. A
19 state agency requesting a waiver shall, at a minimum, provide
20 sufficient evidence showing that the state will suffer an
21 interruption in business operations or other irreparable harm
22 if the state agency cannot procure the good or service, and
23 that the state agency has exhausted all reasonable steps to
24 prevent such harm, including attempting to procure substitute
25 goods or services. The director may require the submission of
26 additional evidence at the director's discretion. A waiver
27 must be as narrow as possible to allow the procurement of the
28 necessary good or service.

29 Sec. 4. APPLICABILITY. This Act applies to contracts
30 entered into or renewed on or after the effective date of this
31 Act.

32 EXPLANATION

33 The inclusion of this explanation does not constitute agreement with
34 the explanation's substance by the members of the general assembly.

35 This bill prohibits the inclusion of certain provisions in

1 contracts entered into by the department of administrative
2 services (DAS) and any other state agency under Code chapter
3 8A, subchapter III, part 2 (purchasing), and declares those
4 provisions void if present in such contracts. The bill also
5 provides that every state agency vendor contract shall be
6 deemed to include provisions requiring the contract to be
7 governed by Iowa law and for litigation related to the contract
8 to be brought and maintained in an appropriate state or federal
9 court sitting in Iowa.

10 The director of DAS may waive a contract requirement of the
11 bill to the extent necessary for the procurement of a necessary
12 good or service, if the director determines the good or service
13 is otherwise impossible to procure.

14 The bill applies to contracts entered into or renewed on or
15 after the effective date of the bill (July 1, 2026).